

imports from Baltics & CIS region actually declined by 26.7 percent over the same time period.

Table 19.5: Direction of India's Merchandise Exports by Geography
Value in US\$ million

Regions	2017-18	2018-19	% Growth Over Previous Year	Share in % 2018-19
Asia	1,49,635	1,61,216	7.7	48.8
America	62,783	68,861	9.7	20.9
Europe	60,346	64,375	6.7	19.5
Africa	24,904	28,541	14.6	8.7
CIS & Baltics	3,007	3,467	15.3	1.1
Unspecified Region	2,851	3,617	26.9	1.1
Total Exports	3,03,526	3,30,078	8.8	100

Source: Economic Survey 2019-20

Table 19.6: Direction of India's Merchandise Imports by Geography
Value in US\$ million

Regions	2017-18	2018-19	% Growth Over Previous Year	Share in % 2018-19
Asia	2,79,667	3,18,762	14.0	62.0
Europe	69,898	79,357	13.5	15.4
America	55,993	65,190	16.4	12.7
Africa	37,789	41,128	8.8	8.0
CIS & Baltics	12,876	9,443	-26.7	1.8
Unspecified Region	9,358	199	-97.9	0
Total Imports	4,65,581	5,14,078	10.4	100

Source: Economic Survey 2019-20

India's largest export destination country is the United States of America (USA), which accounted for 15.9 per cent of India's exports (in value terms) in 2018-19, followed by United Arab Emirates (UAE), China and Hong Kong. India's merchandise exports to China accounted for 3.8 per cent in 2014-15 but it increased to 5.1 per cent in 2018-19 whereas, share of India's total exports to UAE has actually declined from 10.6 per cent in the same time

period. India's top 10 exporting destination during 2018-19 jointly accounted for more than 50 per cent of India's total merchandise exports to world.

China has been the largest source of imports for India, accounting for 13.7 per cent of the total merchandised imports in terms of value in the year 2018-19. In fact, share of Chinese imports into India's overall merchandise imports have witnessed a mixed trend from 2014-15 to 2018-19. Other main countries from which India significantly imports are the USA, UAE, and Saudi Arabia. India's top 10 sourcing destination during 2018-19 jointly accounted for more than 52.8 per cent of India's total merchandise imports from world.

Economic Survey 2019-20 has done a very interesting analysis of India's bilateral trade position with respect to its top trading partners over a five years period from 2014-15 to 2018-19 (Table 19.7). India mostly has trade surplus since 2014-15 with its top two trading countries i.e. USA and United Arab Emirates. On the other hand, India has trade deficit continuously since 2014-15 with respect to other major trading partners i.e. China PRP, Saudi Arabia, Iraq, Germany, Korea RP, Indonesia, and Switzerland. India had trade surplus with Hong Kong and Singapore till 2017-18, before it changed to trade deficit in 2018-19. The bilateral imbalances, however, have remained stable in most cases. India's deficit in merchandise trade with China reached up to US\$ 63.05 in 2017-18 which marginally improved to US\$ 53.37 in the subsequent year.

Table 19.7: Bilateral Trade Surplus/Deficit (Sorted on Year: 2018-19)

US \$ Billion

	Country	2014-15	2015-16	2016-17	2017-18	2018-19
Trade Surplus Countries	U S A	20.63	18.55	19.90	21.27	16.86
	United Arab Emirates	6.89	10.87	9.67	6.41	0.34
Trade Deficit Countries	China PRP	-48.48	-52.70	-51.11	-63.05	-53.57
	Saudi Arabia	-16.95	-13.94	-14.86	-16.66	-22.92
	Iraq	-13.42	-9.83	-10.60	-16.15	-20.58
	Germany	-5.25	-5.00	-4.40	-4.61	-6.26
	Korea RP	-8.93	-9.52	-8.34	-11.90	-12.05
	Indonesia	-10.96	-10.31	-9.94	-12.48	-10.57
	Switzerland	-21.06	-18.32	-16.27	-17.84	-16.90
	Hong Kong	8.03	6.04	5.84	4.01	-4.99
	Singapore	2.68	0.41	2.48	2.74	-4.71

Source: Economic Survey 2019-20

Check Your Progress 2

- 1) State the important changes being observed in the composition of India's external trade since 2007-08.

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- 2) Do you think that direction of India's exports has been changing with BRICS Countries over time?

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- 3) Give the emerging features of changes in the volume and direction of India's foreign trade.

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19.4 INDIA'S BALANCE OF PAYMENTS

The sixth edition of the Balance of Payments and International Investment Position Manual (BPM6) of the International Monetary Fund (IMF) defines BoP as a statistical statement that summarises economic transactions between residents and non-residents during a specific time period. It consists of the goods and services account, the primary income account, the secondary income account, the capital account, and the financial account. The different accounts within the BoP are distinguished according to the nature of the economic values provided and received, under the double-entry system of accounting in the BoP.

The BoP, thus, includes all transactions showing²:

transactions in goods, services and income between an economy and the rest of the world changes of ownership and other changes in that economy's monetary gold, special drawing rights (SDRs), and financial claims on and liabilities to the rest of the world, and unrequited transfers.

These transactions are categorised into:

the "current account" including "goods and services", the "primary income", and the "secondary income", the "capital account", and the "financial account".

19.4.1 The Current Account

The current account includes flows of goods, services, primary income, and secondary income between residents and non-residents and thus constitutes an important segment of BoP.

Under current account of the BoP, transactions are classified into i) merchandise (exports and imports) and ii) invisibles. Invisible transactions are further classified into three categories, namely (a) Services-travel, transportation, insurance, Government not included elsewhere (GNIE) and miscellaneous (such as, communication, construction, financial, software, news agency, royalties, management and business services); (b) Income; and (c) Transfers (grants, gifts, remittances, etc.) which do not have any quid pro quo.

Exports of goods and services and the receipt of transfers are entered in the current account as credits (+) because they lead to the receipt of payments from foreigners. On the other hand, imports of goods and services and the granting of transfers entered as debits (–) because they lead to payment to foreigners.

The Balance of Trade (BoT) deals only with exports and imports of merchandise (or visible items). The Balance of Invisibles (BoI) shows net receipts on account of invisibles. It is not necessary that BoT should always balance; more often than not, it will show either a surplus or a deficit on BoI. If the surplus on BoI equals the deficit on BoT, the current account will show a net balance. But then there is no reason why these two balances should always be equal, again, always in opposite directions. As a matter of fact, the balance on current account can always show a deficit or a surplus. A surplus on current account leads to an acquisition of assets or repayment of debts previously contracted, and a deficit involves withdrawal of previously accumulated assets or is met by borrowings.

While the “goods and services (invisibles) account” generally forms a major part of the current account, the primary income account reflects amounts payable and receivable in return for providing temporary use of labour, financial resources, or non-produced non-financial assets (natural resources). The net effect of all the transactions under the above accounts is known as the “current account balance”. In other words, the current account balance shows the difference between the sum of exports of goods and services as well as income receivable, on the one hand, and the sum of imports and income payable on the other. From a macroeconomic perspective, the value of the current account balance reflects the inflow/outflow of foreign resources bridging the savings-investment gap.

19.4.2 The Capital Account

The capital account³ shows credit and debit entries for non-produced non-financial assets and capital transfers between residents and non-residents. It

³ As Defined in Balance of Payments and International Investment Position Manual Sixth Edition (BPM6), IMF

records acquisitions and disposals of non-produced non-financial assets, such as land sold to embassies and sales of leases and licenses, as well as capital transfers, that is, the provision of resources for capital purposes by one party without anything of economic value being supplied as a direct return to that party.

To be more precise, the capital account shows the change in the nation's assets abroad and the foreign assets in the nation, other than official reserve assets. It includes direct investments (e.g. building of a foreign plant), the purchase or sale of foreign securities (stocks, bonds, and treasury bills), and the change in the nation's non-bank and bank claims on and liabilities to foreigners during the year. Increases in the nation's assets abroad and reductions in the foreign assets in the nation (other than official reserve assets) are capital outflows or debits (–) in the nation's capital account because they lead to payment to foreigners. On the other hand, decreases in the nation's assets abroad and increases in foreign assets in the nation are capital inflows or credits (+) because they lead to the receipt of payments from foreigners.

19.4.3 The Financial Account

The financial account reflects net acquisition and disposal of financial assets and liabilities during a period. The transactions under financial account appear both in the BoP and in the integrated international investment position (IIP) statement owing to their effect on the stock of assets and liabilities. The sum total of net transactions under the current and capital account represents net lending (surplus) or net borrowing (deficit) by the economy from the rest of the world, which is reflected in the financial account as net outflow or inflow of capital. Thus, the financial account shows how the net lending to or borrowing from the rest of the world has occurred. Conversely, it shows how the current account surplus is used or the current account deficit is financed. The financial account together with the “other changes account” explains the change in the IIP between the beginning and end-periods.

The sum of the balances on the current and capital accounts represents the net lending (surplus) or net borrowing (deficit) by the economy with the rest of the world. This is conceptually equal to the net balance of the financial account. In other words, the financial account measures how the net lending to or borrowing from non-residents is financed. The financial account plus the other changes account explain the change in the IIP between beginning- and end-periods.

19.4.4 Net Errors and Omissions

While BoP accounts are, in principle, balanced, imbalances may occur in practice on account of imperfect compilation procedures and different data sources. This imbalance, a usual feature of BoP statistics, is termed “net errors and omissions” and is identified explicitly in the BoP statement. Net errors and omissions in simple terms are derived residually as the difference between total of receipts and payments (both current and capital together with

the financial account). Therefore, a positive value of net errors and omissions indicates any or all of the following:

- the credit transactions (current or capital or both) are understated;
- the debit transactions (current or capital or both) are overstated;
- the net increase in assets in the financial account is overstated;
- the net increase in liabilities in the financial account is understated.

In the case of a negative value of net errors and omissions, the opposites of the above would hold.

19.5 INDIA'S BALANCE OF PAYMENTS – RECENT TRENDS

In India, Reserve Bank of India publishes the quarterly and annual BoP statistics in two formats, an old format and a BPM6 format as recommended by the IMF. Table 19.8 presents the summary of the India's BoP account from 2014-15 to 2018-19. Table 19.9 exhibits the overall situation of India's BoP whereas Table 19.10 demonstrates the key indicators of India's BoP as a percentage of GDP. Figure. 19.1 exhibit Current Account Deficit (CAD) as per cent of GDP over the period of time which has been further captured for the period of 2009-14 and 2014-19 in the Table 19.11.

Table 19.8: Balance of Payments(in US \$ million)

S. No.	Item	2014-15	2015-16	2016-17	2017-18	2018-19
1	2	3	4	5	6	7
I	Current Account					
1	Exports	3,16,545	2,66,365	2,80,138	3,08,970	3,37,237
2	Imports	4,61,484	3,96,444	3,92,580	4,69,006	5,17,519
3	Trade Balance (1-2)	-1,44,940	-1,30,079	-1,12,442	-1,60,036	-1,80,283
4	Invisibles (net)	1,18,081	1,07,928	98,026	1,11,319	1,23,026
	A. Services	76,529	69,676	68,345	77,562	81,941
	B. Income	-24,140	-24,375	-26,302	-28,681	-28,861
	C. Transfers	65,692	62,627	55,983	62,438	69,946
5	Goods and Services Balance	-68,411	-60,402	-44,098	-82,474	-98,342
6	Current Account Balance (3+4)	-26,859	-22,151	-14,417	-48,717	-57,256

II	Capital Account					
	Capital Account Balance	89,286	41,128	36,447	91,390	54,403
i.	External Assistance (net)	1,725	1,505	2,013	2,944	3,413
ii.	External Commercial Borrowings (net)	1,570	-4,529	-6,102	-183	10,416
iii.	Short-term credit	-111	-1,610	6,467	13,900	2,021
iv.	Banking Capital(net) of which:	11,618	10,630	-16,616	16,190	7,433
	Non-Resident Deposits (net)	14,057	16,052	-12,367	9,676	10,387
v.	Foreign Investment(net) of which:	73,456	31,891	43,224	52,401	30,094
	A. FDI (net)	31,251	36,021	35,612	30,286	30,712
	B. Portfolio (net)	42,205	-4,130	7,612	22,115	-618
vi.	Other Flows (net)	1,028	3,242	7,460	6,138	1,026
III	Errors and Omission	-1,021	-1,073	-480	902	-486
IV	Overall Balance	61,406	17,905	21,550	43,574	-3,339
V	Reserves change [increase (-) / Decrease (+)]	-61,406	-17,905	-21,550	-43,574	3,339

Source: Economic Survey 2019-20

Table 19.9: India's Balance of Payments (BoP) Situation

(in US \$ million)

Year/ Item	Current Account	Capital Account	Overall Balance
1981-82	-3179	657	-2523
1991-92	-1178	3777	2599
2001-02	3400	8357	11757
2011-12	-78155	65324	-12831
2018-19	-57256	53917	-3339

Source: Database on Indian Economy, Reserve Bank of India

**Table 19.10: Key indicators of India's Balance of Payments
(As per cent of GDP)**

Year	Exports	Imports	Net Invisibles	Trade Balance	Import Cover of Reserves (In months)
1981-82	4.5	8.3	2.1	-3.8	3.3
1991-92	6.8	7.8	0.6	-1.0	5.3
2001-02	9.2	11.6	3.1	-2.4	11.5
2011-12	17.0	27.4	6.1	-10.4	7.1
2018-19	12.4	19.0	4.5	-6.6	9.6

Source: Database on Indian Economy, Reserve Bank of India

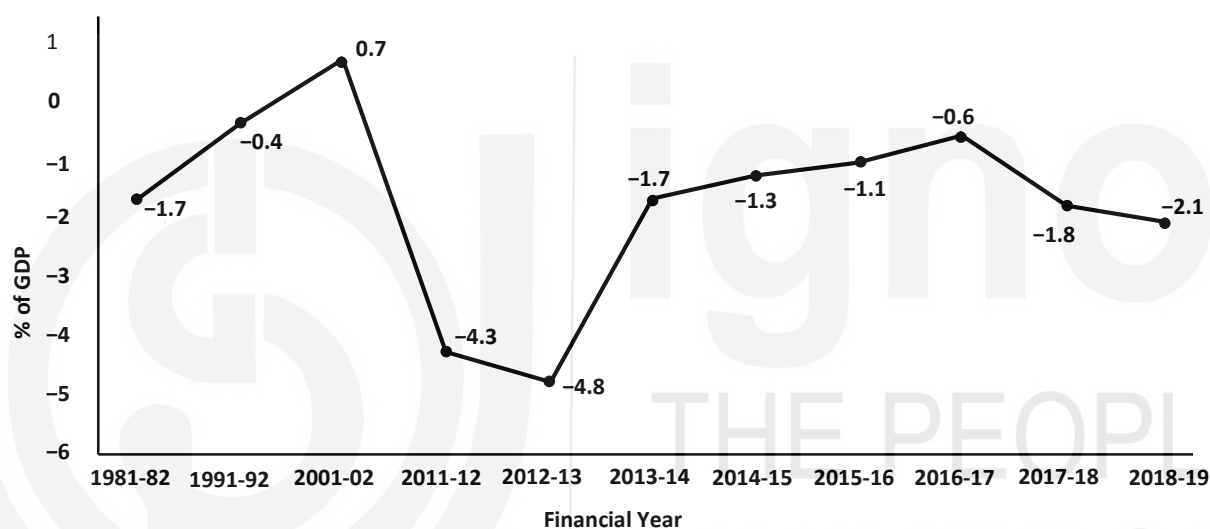


Fig. 19.1: Current Account Deficit (CAD) as per cent of GDP

Source: Computed from database on Indian Economy, Reserve Bank of India

Table 19.11: Current Account Deficit (CAD) as per cent of GDP

CAD as per cent of GDP	2009-14	2014-19	2018-19
	-3.3	-1.4	-2.1

Source: Economic Survey 2018-19

19.5.1 The Salient Features of India's BOP

For an emerging and aspiring market economy like India which need access of foreign savings and capital to meet the investment requirement for a US\$ 5 trillion-economy, improvement in BoP position is critical. It ensures financing of essential imports like crude oil and other such inputs that drive the major sectors of the economy to ensure livelihood to crores of people in the country.

Before 1991

The entire period was very challenging for India's BoP, partly because of slow growth of exports in relation to import requirements and partly because of adverse external factors. Foreign exchange reserves were at a low level, generally less than necessary to cover three months' exports. Almost the entire CAD (92 per cent) was financed by inflows of external assistance.

Recent Developments

The prominent features of the BoP situation as it has emerged over the last two decades can be briefly summarised as follows:

- **Widening Deficit on Balance of Trade Account** – Goods: Deficit towards merchandise trade has been the biggest component of India's current account deficit which is adversely impacting the BoP position. India's exports and imports have multiplied fast, but imports have risen at a faster rate than exports. In the recent years, the escalation of global trade tensions and global slowdown have worsened India's trade deficit. As imports grew faster than exports, the deficit in Balance of Trade (goods) widened to 10.7 per cent of GDP in 2012-13 which narrowed down to 4.9 per cent of GDP in 2016-17, but again increased to 6.6 per cent of GDP in 2018-19. The improvement in the deficit of BoT in 2016-17 was on mainly on account of more than fifty per cent decline in crude prices.
- **Role of Invisibles** – There has been a phenomenal increase in net surplus on account of invisibles principally, due to a) buoyancy in private transfers (i.e. inward remittances), and fast expansion in exports of services, especially software. India is unique among emerging economies to have a sizable invisible surplus that substantially offsets the merchandise trade deficit. Net Private transfer receipts, mainly representing remittances by Indians employed overseas, increased marginally from USD 65.7 billion in 2014-15 to around USD 70.0 billion in 2018-19. According to the Economic Survey 2018-19, India remained a top remittance recipient country in 2018, followed by China, Mexico, Philippines, and Egypt, with remittance inflows peaking at all-time high. Of three main components of net invisibles, net services grew from USD 76.5 billion in 2015-16 to USD 81.9 billion in 2018-19. Economic Survey 2019-20 points out that the surplus on net services has been significantly financing the merchandise trade deficit which reached its peak to about two-thirds of merchandise deficit in 2016-17 before declining to less than half in the last couple of years. Overall, net invisibles as a proportion of GDP reflects the net impact of service exports and imports and unilateral transfers on BoP. In recent times, net invisibles have grown from USD 118.1 billion in 2015-16 to USD 123.0 billion in 2018-19. However, India's net surplus on account of invisibles has been steadily declining in relation to GDP. As a matter of fact, India's net invisibles were 6.2 percent of GDP in the year 2013-14 which continuously declined and reached to 4.2 percent of GDP in 2018-19 and thereafter marginally improved to 4.5 per cent of GDP in 2019-20.

- Current Account** - Slowdown in global demand, higher global crude oil prices, subdued global trade activity and geo-political uncertainties took a toll on India's external sector as the CAD widened to its highest level since 2012-13. (RBI Bulletin November 2019) India's external sector faced persistent global headwinds in 2018-19. As a result, CAD which averaged 1.3 per cent of GDP during 2013-14 to 2017-18 rose to 2.1 per cent of GDP. (RBI Bulletin November 2019). India's Current Account Deficit (CAD) as a percentage of GDP has shown variable trend. The CAD for the year as a whole widened to -4.8 per cent of GDP in 2012-13. Thereafter, it started narrowing down to -0.6 per cent in 2016-17. CAD again increased to -2.1 per cent in 2018-19, primarily on the back of higher trade deficit. Economic Survey 2019-20 has pointed out that India's CAD to GDP ratio significantly improving from 2009-14 to 2014-19.
- Developments in Capital Account** – Major components in the capital account are foreign investment (including foreign direct investment and portfolio investment) and borrowings. On the capital account, India has been running a significant surplus. As a result, India has been rapidly building up its foreign exchange reserves. However, during 2018-19, foreign investment declined to US\$30.1 billion as compared to US\$ 73.5 billion in period of 2014-15. Economic Survey 2018-19 states that robust foreign direct investment (FDI) inflows, were more than outweighed by withdrawals under portfolio investment reflecting an escalation of global risk aversion. Among other forms of capital flows, banking capital recorded a net inflow of US\$ 7.4 billion in 2018-19, a 36 per cent decline over US\$11.6 billion in 2014-15. Among debt creating capital flows, net external assistance increased by 97.9 per cent to US\$3.4 billion in 2018-19 as against US\$1.7 billion in 2014-15. External Commercial Borrowings (ECBs) experienced a significant increase in net inflow of US\$10.4 billion during 2018-19 which is a massive increase of more than five times as against a net inflow of US\$1.6 billion in 2014-15, reflecting in part a possible credit crunch in the country. Net NRI deposit declined by 26.1 percent to US\$1.0 billion in 2018-19 as against US\$14.0 billion in 2014-15. Net short-term trade credit has shown a mixed trend and after recording a sharp decline during 2014-15 and 2015-16 due to import contraction, it has increased to US\$ 13.9 billion in 2017-18 and thereafter declined to US\$2.0 billion in 2018-19. Overall, in 2018-19, net capital flows fell short of financing current account deficit resulting in depletion of foreign exchange reserves. The capital account demonstrates following features: (a) Both inflows and outflows of capital have increased. (b) The composition of capital flows is undergoing a change: (1) Official external assistance has been gradually losing out its significance; (2) FDI and portfolio investment have surged, and among the two, the inflows on account of FDI have been more than on account of portfolio investment (except 2010-11 when the trend got reversed). (3) With easing of controls, external commercial borrowings have been coming back into prominence.